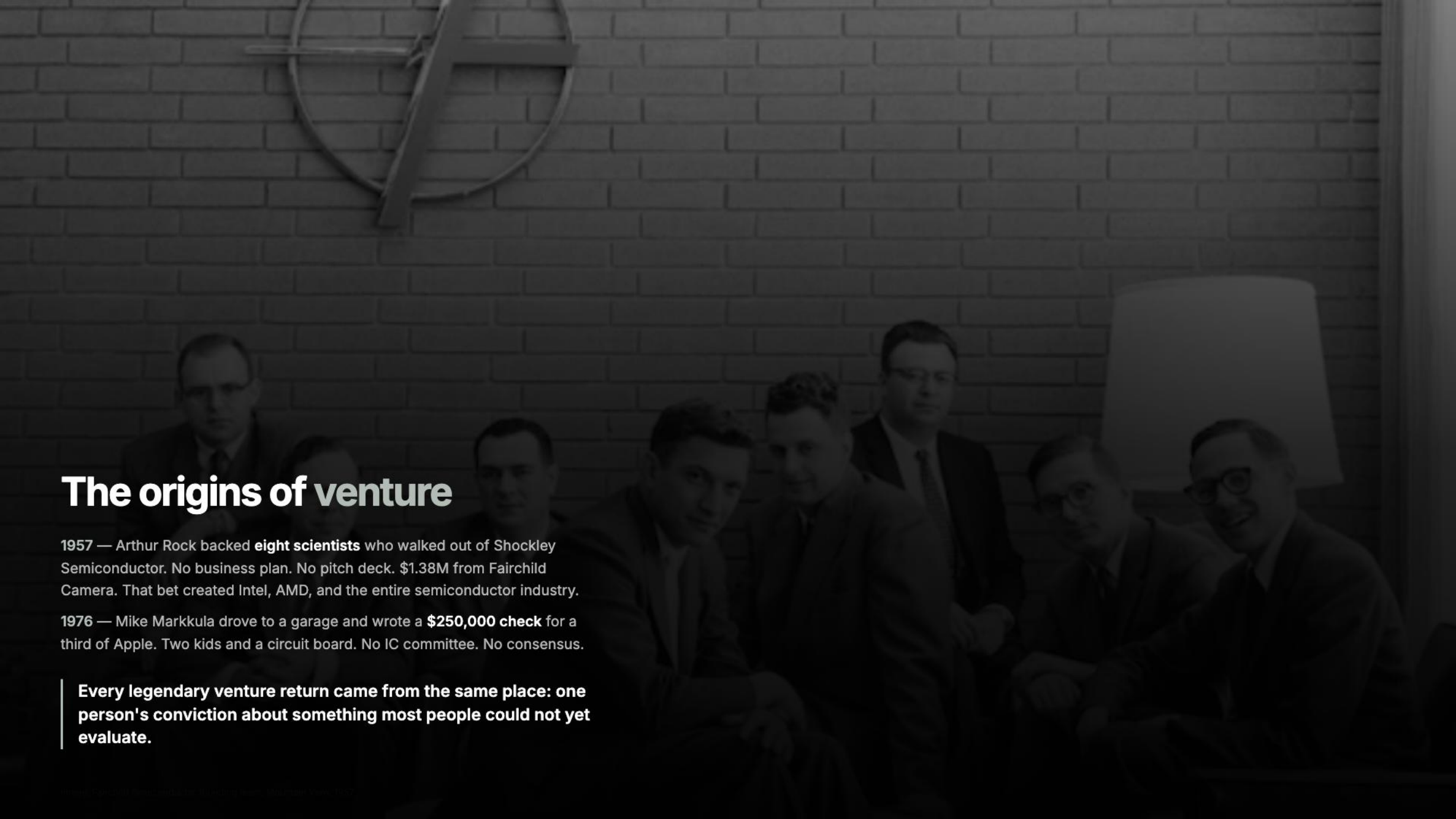
inflection®

Hard Futures

FUND III — MARS



The origins of venture

1957 — Arthur Rock backed **eight scientists** who walked out of Shockley Semiconductor. No business plan. No pitch deck. $1.38M from Fairchild Camera. That bet created Intel, AMD, and the entire semiconductor industry.

1976 — Mike Markkula drove to a garage and wrote a **$250,000 check** for a third of Apple. Two kids and a circuit board. No IC committee. No consensus.

> **Every legendary venture return came from the same place: one person's conviction about something most people could not yet evaluate.**

Intel Corporate Headquarters Building, San Jose, California, 1972

Today the industry runs on PE playbooks

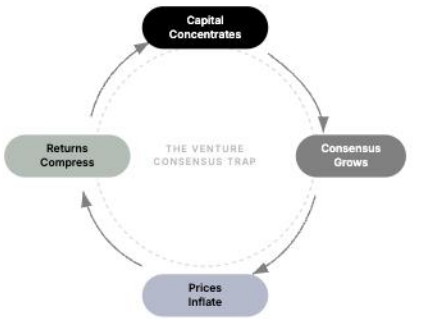
Capital has never been this concentrated.

2024 — TOP 30 FIRMS CAPTURED 75% OF ALL US VENTURE CAPITAL

2025 — IT GOT WORSE

WHERE THE MONEY WENT

> *"We basically take venture risk for PE returns. I do not think any of those funds will perform as well as anyone hopes."*
>
> Head of Allocations, Vanderbilt University Endowment



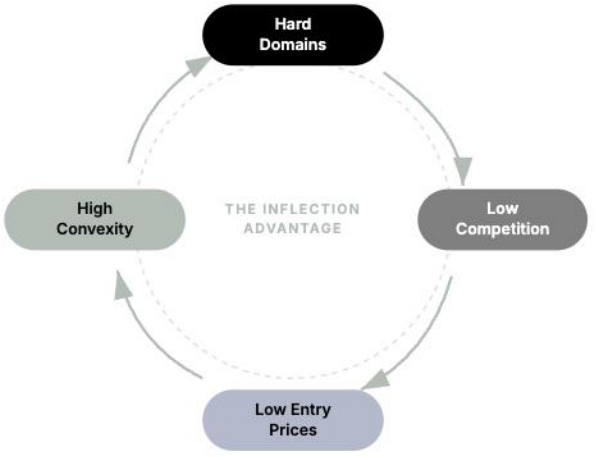
Unique ideas spark disagreement.
The industry concentrates capital into what everyone agrees on.

Source: PitchBook-NVCA 2024/2025; Crunchbase 2025; MIT Strategy Science, 2024

Contrarian investing in hard domains drives returns

MIT 2024: Higher disagreement among evaluators correlates with better startup outcomes. Unique ideas spark disagreement. Common ideas spark consensus.

Strategy Science, 2024. 67 venture competitions, 2011-2020.



Investing into hard domains is not a risk factor. It's the alpha.

Hard domains are hard to access, hard to evaluate, hard to underwrite.
Therefore competition is low and so are prices.
This increases convexity on a portfolio level.

The method works. We proved it twice.

2019 Crypto infrastructure	Identified crypto as **overlooked, technically hard, and psychologically repulsive** to institutional capital. Deployed at BTC $3k, ETH $200. Backed Centrifuge, Anytype, Molecule at $5-30M.	→	Rally 2021 Positions 10-50x	**8x** TVPI **3x DPI**
2023 Sovereign deep tech	Same method, new domain. Sovereign infrastructure was **overlooked, technically hard, and psychologically repulsive** to institutional capital. Deployed into Radical, Ubitium, Ark, Hedy, NAD.	→	EUR 800B+ committed Procurement 2026	**5** markups (1.5-4.1x)

The domain changed. The pattern did not. We are early to hard places - and we do it again.

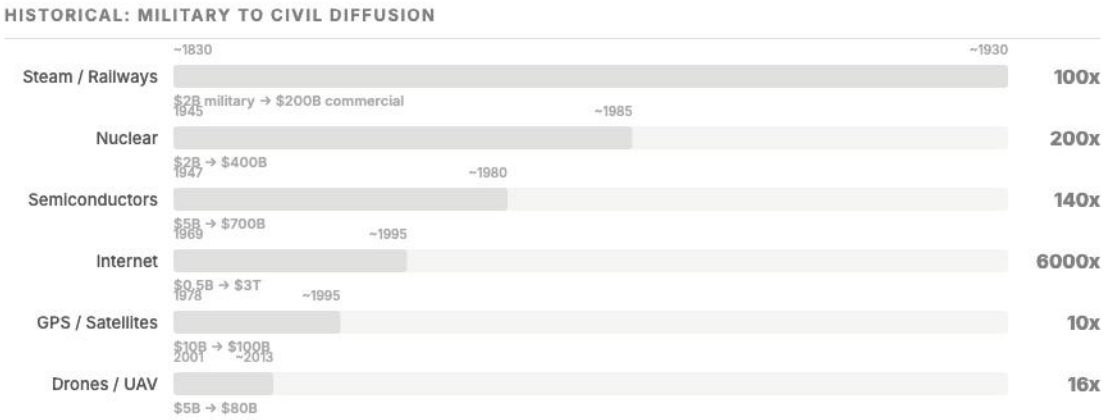
NOT A SECTOR FUND

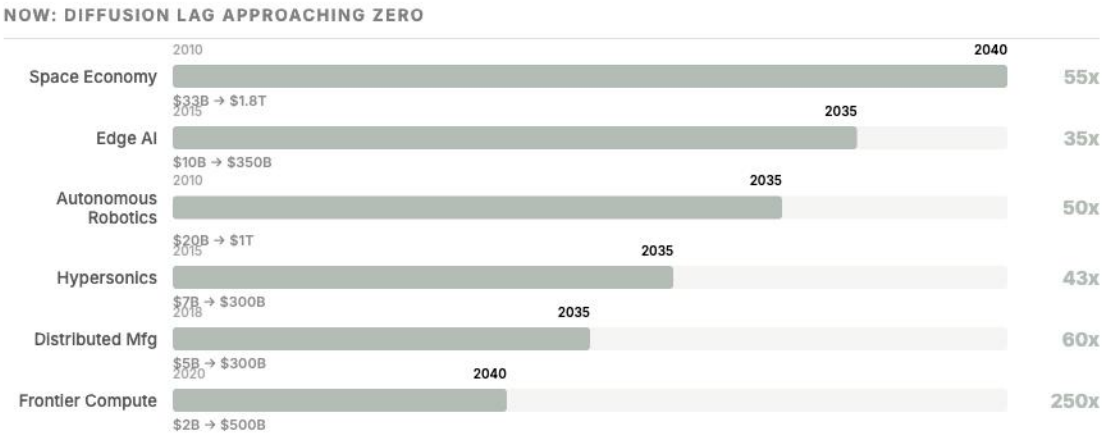
> Sector funds follow categories. We follow a method: find domains that are hard to access, hard to evaluate, and hard to fund. The method selects the sector. We do not.

The funds you can easily categorize are the ones delivering PE returns for VC risk.
The one you can't categorize delivered 8x.

The hard futures opportunity

EUR 900B in sovereignty spending is a catalyst. The far larger opportunity is the **commercial innovation** it accelerates.





Military invention → commercial adoption | **$X** military market → **$Y** commercial market | **Nx** expansion multiple

The diffusion lag from military invention to commercial market has collapsed from **centuries** to **decades** to **years**. Fund III invests at the moment this lag approaches zero - where defense procurement creates the first customers and commercial scale follows within the fund lifecycle.

Market sizing: McKinsey, Morgan Stanley, Teal Group, Grand View Research. Diffusion timelines from historical technology transfer literature.

We invest in hard futures at pre-seed where few can follow

[image]

Radical

Perpetual flight - stratospheric platforms at 20km altitude

[image]

Deep Earth

Geospatial AI mapping the earth's subsurface

[image]

Foundational

Space laser ranging for ultra-precise geodetic data

[image]

Fabric

Custom silicon for encrypted computation and edge AI

[image]

Ubitium

Universal processor for any AI workload at the edge

[image]

Hedy

Network invisibility in contested environments

[image]

NAD

Modular air defence - Europe's Iron Dome

[image]

Ark

Autonomous fleet control for drones and robots

[image]

Levtek

General-purpose industrial robots for blue-collar workers

[image]

Lodestar

Bodyguard satellites - robotic protection of orbital assets

Physically hard to reach
Stratosphere. Orbit. Underground. Contested zones.

Technically hard to build
Years of deep engineering before first unit ships.

Psychologically hard to fund
No playbooks. No Gartner TAM. Dies in committee.

We enter at prices that create convexity

COMPANY	DOMAIN	YEAR	INVEST / ENTRY VAL. POST	OWNERSHIP	FUNDAMENTALS	CURRENT / TERM SHEET	MULTIPLE	STATUS
Hedy	Network security	2025	1.25 / 9.8	12.8%	$3M ARR; special forces + enterprise customers; $30M pipeline	$40M post	4.1x	Closing
Ark	Drone + robot fleet control	2024	1.45 / 21.5	6.8%	$5M revenue; $100M pipeline; deployed across 20+ brigades in Ukraine	$65M post	3.0x	Closed
Hanseatic	Maritime intelligence	-	2.00 / 25	8.0%	On track $150M turnover 2026; $300M pipeline	$60M post	2.4x	Term sheet
NAD	Modular air defence	2025	1.50 / 25	6.0%	Working prototype interceptors; $100M pipeline	$56M+	2.2x	Equity imminent
Levtek	Industrial robots	2025	1.18 / 12.25	8.2%	5 units sold to IKEA, Sony et al.; $500K revenue in Y1	-	-	Deployed
Radical	Stratospheric flight	2023	1.00 / 17.5	4.5%	Full-systems virgin flight Q3 2025; $50M+ in LOIs	-	-	Raising Mar
Foundational	Space laser ranging	2025	1.50 / 17	8.0%	$5M revenue; pilot ground station built	$25M post	1.5x	Closed
Ubitium	Universal edge processor	2024	1.10 / 14	8.0%	Tape-out of 2 chip iterations in 2026	-	-	Deployed
Lodestar	Satellite servicing	2024	1.77 / 16	9.8%	$5M revenue 2026; UK-to-US relocation; components launched to space	-	-	Raising Mar
Deep Earth	Subsurface AI	2024	1.00 / 9.5	7.2%	$1M ARR in Y2	$20M post (est.)	2.1x	Deployed
Fabric	Encrypted silicon	2023	2.00 / 55	2.5%	$50M+ in LOIs; first chip taped out; early tests positive	-	-	Deployed

WTD AVG ENTRY VALUATION

$[X]M

Across all 26 Fund II positions

Five markups between 1.5x and 4.1x. None reflected in the reported 0.95x TVPI.

Not because we negotiated harder. Because we were there before anyone else was looking.

We build portfolios as systems

Sense
Planetary Intelligence

Radical	Stratosphere
Deep Earth	Subsurface
Foundational	Space

→

Compute
Sovereign Compute

Fabric	Encrypted silicon
Ubitium	Edge AI
Hedy	Network stealth

→

Act
Autonomous Machines

NAD	Air defence
Ark	Fleet control
Levtek	Industrial robots
Lodestar	Orbital servicing

Intelligence feeds compute → Compute drives machines → The portfolio is a closed loop

The portfolio is highly synergetic. We never back competing companies.

We built through 7y of compounding conviction

We are engineers, operators and investors by training. We have been through hardship and are **as resilient as our founders**. We collaborate since 2019 (some of us since the 1990s).

INVESTMENT TEAM

[photo]

Alexander Lange
Founding GP

Law + Econ; **top 5%**; KAS fellow (top 1%). Google, fintech. 5y at Index Ventures + Earlybird. **Raised $40M as Solo GP through a pandemic.**

[photo]

Jonatan Luther-Bergquist
GP

Engineering Physicist, UU/EPFL/TUM. **Top 1% in SWE** aptitude tests. Published researcher. 3y building product for UN (500k users). 2y BCG, IT architecture for European utilities.

ENGINEERING

[photo]

Alexander Patow
Engineering

Mechanical engineer, BU. 4y leading SWE teams at Accenture. 4y at EQT / Motherbrain; founding member data analytics team. Board member Stockholm AI. **Built Inflection's entire tech stack.**

OPERATIONS

[photo]

Rebecca Mahoney
VP Finance

[photo]

Robert Shapiro
Asset & Risk Mgmt

[photo]

Jonathan Levin
General Counsel

Index Ventures · Earlybird · Google · TUM · BCG · EPFL · EQT

Two machines to punch above our weight

DEALFLOW + PORTFOLIO PLATFORM

Matter... / EDTH

We co-founded a platform that runs hackathons in defence, energy, future of computing, aerospace, bio - with a media arm. Beyond dealflow: engineering hires, BD, procurement access, portfolio support. We do not wait for deal flow. We create it.

[image]

25	100s	5+
Hackathons / year	Founders scouted	Domains covered

OPERATIONS ENGINE

CAVI

Computer Aided Venture Investing. Automated deal flow scoring, portfolio monitoring, and LP reporting. Three people running what most funds need nine for.

[image]

3	9	3x
Team members	Equivalent headcount	Leverage ratio

Direct pipeline into exactly our domains. No cold outreach. No spray and pray.

Our numbers - the good, the bad, the ugly

FUND I

$1.1M | 2019 vintage

8.0x **3.0x** DPI

TVPI | Cash returned

Proof of concept. Pandemic cut fundraise from $10M to $1.1M. Selection engine validated. 5 of 12 positions drove returns.

FUND II

$40M | 2022 vintage

0.95x

TVPI (most conservative basis)

Below water. Reported on most aggressive write-downs, most conservative markups. No SAFE uplifts. The slope matters, not the snapshot.

The slope behind 0.95x - markups not yet in reported TVPI

Hedy	Ark	Hanseatic	NAD	Foundational
$9.8M → $40M	$21.5M → $65M	$25M → $60M	$25M → $56M+	$17M → $25M
4.1x	**3.0x**	**2.4x**	**2.2x**	**1.5x**

a16z founders (Isomer, Hutt Capital, JT Esquibel) saw these numbers and recommitted to Fund III. Partners at General Catalyst, Point Nine, Earlybird, and Crane also committed personally to Fund II.

Fund III - Mars

$50M
Target fund size

24
Target positions

6-10x
Target return multiple

10y
Fund life cycle

4y invest period | Harvest | 2+2y extension

CAPITAL ALLOCATION

80% Initial investments | **20% Follow-on**

FIRST CLOSE - MID 2025
$6M committed
Isomer, Hutt Capital, JT Esquibel (a16z founders), Christian Reber

FINAL CLOSE
December 2026

TERMS
20% carry | 2% mgmt fee p.a.

What you need to believe

1. Hard domains produce better returns than consensus domains. Difficulty filters competition and compresses entry prices.

2. European frontier tech is a multi-decade structural shift, not a political cycle.

3. A small, thematic team with 7 years of consistency outperforms a large platform deploying across twenty sectors.

Our fundraising period ends on December 31, 2026.

References

WHAT FOUNDERS AND LPS SAY

> *"You guys went repeatedly into territory that is immensely painful. That will be rewarded."*
> Manuel Grossmann, Armino Collective

> *"[Placeholder: founder quote about conviction or value-add]"*
> [Founder Name], [Company]

> *"[Placeholder: LP quote about differentiation]"*
> [LP Name], [Organization]

> *"[Placeholder: founder quote about support quality]"*
> [Founder Name], [Company]

> *"[Placeholder: portfolio founder on strategic access]"*
> [Founder Name], [Company]

LPS AND BACKERS

Isomer Capital · Hutt Capital · JT Esquibel · Christian Reber · General Catalyst · Point Nine · Earlybird · Crane

SELECTED WRITING AND MEDIA

Heresy and the Venture Industrial Complex
Why non-consensus investing produces better returns

Europe's New Defense - The Investment Thesis
EUR 900B in sovereignty spending and deep tech

Depth vs Breadth in Venture Capital
Why thematic focus beats generalist deployment

The Anatomy of Inflections
Identifying phase transitions before consensus

Matter.../EDTH - Building the Ecosystem
Hackathons and media across defense, energy, aerospace

The Sovereign Compute Stack
Why Europe needs its own hardware-software supply chain

Why We Back First-Time Founders
Conviction-driven investing at the earliest stage

[Placeholder: podcast or panel appearance]
Discussion on European deep tech investing

[Placeholder: media feature or interview]
Profile on Inflection's contrarian thesis

[Placeholder: EUVC or conference talk]
Keynote on sovereign infrastructure investing

inflection.xyz/blog

inflection®

Conviction, not conformity. Curiosity, not playbooks. We reclaim venture's origins to power a European renaissance.